

her practice. People travel from around the world just to have this surgeon do this procedure on them. She has seen every variation of patient, and because of this, she has done more of these operations than anyone in the world.

Based on this new information, which surgeon would you choose? The first doctor was pretty good, but the second doctor is outstanding! If you suddenly are thinking about the medical school doctor with the lower success rate, well, congratulations—you have just become process-focused. The key to focusing more on process is to understand that good outcomes follow good processes. Without understanding the underlying process, good outcomes could just as likely be due to dumb luck as to skill.

You should be reminded of this every time you read the disclaimer “past performance is no guarantee of future results.” What you are actually seeing is an admission of random outcomes. When past performance is the result of luck, then it provides zero insight into what future results might look like.

All too often, Luck = Outcome, and Skill = Process.

We rarely know precisely what the sources of good outcomes are; however, we have a high degree of confidence what the probabilities are for a good process. A strong process is a guarantee—not of outcome or results, but of a higher probability of obtaining your desired results.

That’s why process is so important to investors.



Up next, the dozen biggest unforced errors all investors make—and how to avoid them.

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[301](#) I try to avoid sports metaphors, but I published an earlier version of this essay in *The Washington Post* in 2016 two weeks before the Super Bowl. Barry Ritholtz, “You’re obsessed with outcomes. Here’s why attention to process pays off,” *The Washington Post* (January 23, 2016).

[302](#) Annie Duke, *Thinking in Bets: Making Smarter Decisions When You Don’t Have All the*